SYBBI SEM III (Regular) ATKT MARKS 75 TIME 2.5 HRS

SUBJECT : FINANCIAL MANAGEMENT – I Date: 18/02/2017

Q.1

A) TRUE OR FALSE (ANY 8) 8 Marks

1. Investment decision is a main function of finance manager.
2. Profit maximisation and wealth maximisation are two objects of financial management.
3. Balance sheet is a summary of assets and liabilities.
4. Working capital = current assets – current liability.
5. Current ratio indicates solvency position of a company.
6. A common size statement shows the relation of each component to the whole.
7. Flexible budget is also known as variable budget.
8. Trade credit is a example of short term finance.
9. Debenture loan is a secured loan.
10. Depreciation is always ignore while preparing cash budget.

B) MATCH THE FOLLOWING (ANY 7) 7 marks

1. Net sales is a base	1. Long Term Source of finance
2.Quick Ratio	2. Long Term Investment
3. NPV	3. Flexible Budget
4. Collection from Debtors	4.FA + I + WC
5.Debt Equity Ratio	5.Income statement Ratio
6.Net profit Ratio	6. Balance sheet Ratio
7.Capital Employed	7. Cash Budget
8. Semi variable expenses	8. Net Present Value
9. Fixed Assets	9.Quick Assets / Quick Liabilities
10. Share capital	10. Common size statement

Q.2 From the financial statement of Amol Ltd prepare a common size financial statement.15 marks

Particulars	Rs.	Particulars	Rs.
To opening Stock	1,60,000	By Sales	8,00,000
To Purchases	4,80,000		
To Wages	1,00,000		
To Factory Overhead	1,00,000	By closing stock	2,40,000
To Gross Profit c/d	2,00,000		
	10,40,000		10,40,000

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To Admin Expenses To Selling Expenses To Financial Expenses To Interest on Debenture To Tax To Net Profit	30,000 20,000 10,000 10,000 40,000 90,000	By Gross Profit b/d	2,00,000
	2,00,000		2,00,000

OR

Q.2 From the following financial statement of Amul Ltd. Prepare comparative statement. 15 marks

Balance sheet as on 31st March

Liabilities	2015	2016	Assets	2015	2016
Equity share capital	40,000	40,000	Land	20,000	24,000
10% Pref. Share capital	30,000	30,000	Building	60,000	54,000
General Reserve	20,000	24,500	Stocks	20,000	30,000
Tax payable	10,000	15,000	Debtors	20,000	30,000
Creditors	20,000	27,500	Cash	10,000	14,000
12% Debenture	10,000	15,000			
	1,30,000	1,52,000		1,30,000	1,52,000

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Q.3 Following is the summarized Balance Sheet and Revenue statement of Rose Ltd for the year ended 31st March 2015. 15Marks.

Liabilities	Rs.	Assets	Rs.
Share Capital	80,000	Fixed Assets	75,000
Reserves	20,000	Current Assets	1,00,000
10% Debenture	25,000		
Current Liabilities	50,000		
	1,75,000		1,75,000

Revenue statement for year ended 31st march 2015

Particulars	Rs.
Sales	3,00,000
Less: Cost of sales	2,25,000
Gross Profit	75,000
Less: Operating Expenses	25,000
Net Profit Before Tax	50,000
Less: Tax	20,000
Net Profit After Tax	30,000

You are required to calculate the following ratios:

a) Current Ratio b) Proprietary Ratio c) Capital Gearing Ratio

d) Gross profit Ratio e) Operating Ratio f) Net profit Ratio

g) Gross profit ratio

OR

Q.3 You are furnished with the following revenue statements for the four years ended 31st march

Particulars	2002	2003	2004	2005
Sales	5000	6000	7200	8640
Less: Cost of Sales	3200	3800	4600	5600
Gross Margin	1800	2200	2600	3040
Management Expenses	300	350	400	450
Sales Expenses	500	600	720	846
Interest on Loans	300	400	500	600
Total Expenses	1100	1350	1620	1914
Profit Before Depreciation	700	850	980	1126
Depreciation	500	450	600	650
Profit Before Tax	200	400	380	476
Income Tax	80	200	185	240
Profit after Tax	120	200	195	236

You are required to make trend analysis.

Q.4 Prepare Cash Budget of Amar Ltd for 3 months commencing from April with the help of following information.

15 Marks

Months	Sales	Purchases	Wages
March	16,00,000	5,00,000	-
April	6,00,000	6,40,000	1,60,000
May	8,00,000	6,40,000	1,60,000
June	8,00,000	9,60,000	2,00,000
July	12,00,000	8,00,000	2,00,000

Cash sales are 25% of totalsales.60% of credit sales are collected in the same month and balance 40% in the following month.

Payment for purchases is made 40% in the same month and60% in the following month.

Rent is Rs.8,000 paid per month. Dividend received in May Rs.22,000.

Cash balance as on 31st march is Rs.2,00,000.

OR

Q.4 Atul ltd. Manufactures 5000 units at a cost of Rs.90 per unit. Presently utilising 50% of the total capacity. The information pertaining to cost per unit of the product is as follow. 15 marks

Material	Rs.50
Labour	Rs.15
Factory Overhead	Rs.15(40% fixed)
Admin Overhead	Rs.10(50% fixed)

1)The current Selling price of the product is Rs.100 per unit.

Prepare Flexile budget of the company at 60% , 80% and 100% capacity.

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Q.5

A) What are the various sources of long term finance? 8 marks

B) What are the various short term sources of finance? 7 Marks

OR

Q.5 Short Notes (Any 3) 15 marks

A) Share Capital

B) Capital Budgeting

C) Format of Vertical Balance sheet

D) Balance sheet Ratio

E)Capital Employed

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